

CALPUS

Textbook

Business and Corporate Regulations

BBA Honours . Semester 3 . Calicut University

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CALPUS
AI Study Companion

Part 1 — Textbook (Modules)

Module 1

SUBJECT: BUSINESS & CORPORATE REGULATIONS

Module 1: Indian Contract Act

1 Introduction of law, Sources of law, Business Law – Meaning and definition Introduction of Law Law represents a systematic architecture of rules, codes, and directives established and enforced by a sovereign political authority to govern human behavior, maintain social order, and preserve justice within a state. Without law, commercial environments revert to unpredictability, making stable enterprise impossible.

Sources of Indian Law The contemporary legal framework of India is derived from multiple primary sources:

- Statutory Law (Legislation): Enactments passed by the Parliament of India or State Legislatures (e.g., the Indian Contract Act, 1872 itself). This is the supreme legislative source.
- Judicial Precedents (Common Law): Decided cases and judgments delivered by appellate courts, primarily the Supreme Court of India. Under Article 141 of the Constitution, Supreme Court rulings are binding law across all lower territories.
- Customs and Usages: Long-established commercial traditions and practices that are continuous, reasonable, and not opposed to public policy or statutory enactments.
- Personal Laws: Religiously or culturally rooted structures (such as Hindu or Muslim personal codes) applied strictly to familial matters like inheritance and marriage.

Business Law: Meaning and Definition Business Law—historically referred to as Mercantile or Commercial Law—is that specialized branch of civil law which encompasses the legal rules relating to commercial transactions, trade, industry, and corporate governance. It establishes the ground rules under which businesses interact, execute agreements, manage properties, and settle financial disputes.

Legal Scope: Business law dictates structural boundaries for a massive continuum of merchant operations: from basic contract formations and sale of goods parameters, to partnership liabilities, negotiable instruments, corporate compliance, and bankruptcy resolutions.

2 Contract: - Definition, Essentials of Valid Contract Definition of a Contract According to Section 2(h) of the Indian Contract Act, 1872, a contract is defined as: "An agreement enforceable by law." This definition reveals a foundational two-part mathematical legal formula:

Contract = Agreement + Legal Enforceability Breaking this down further under Section 2(e), an agreement is defined as: "Every promise and every set of promises, forming the consideration for each year." A promise occurs when a proposal/offer is accepted by another party (Section 2(b)). Therefore:

Agreement = Offer + Acceptance Essentials of a Valid Contract (Section 10) For an agreement to transition into a legally binding contract, it must satisfy the strict checklist of statutory prerequisites outlined in Section 10 of the Act. If any element is compromised, the agreement remains legally dead:

- 1. Offer and Acceptance: There must be a lawful, identifiable offer by one party and an absolute, unconditional acceptance of that exact offer by the other.

- 2. Intention to Create Legal Relationship: The parties must explicitly intend that their arrangement will trigger legal consequences. Purely social, domestic, or moral arrangements do not form contracts. *(Leading Case: Balfour v. Balfour)*

- 3. Lawful Consideration: The agreement must be supported by "Quid Pro Quo"—something in return. A bare promise without reciprocal value is non-binding.

- 4. Capacity of Parties: The contracting entities must be legally competent. This requires them to be of the age of majority, of sound mind, and not explicitly disqualified from contracting by any law.

- 5. Free Consent: The minds of the parties must meet voluntarily and sincerely on the same thing in the same sense (*Consensus ad idem*). Consent is not free if obtained via pressure or trickery.

- 6. Lawful Object and Consideration: The objective of the agreement and the reciprocal exchange must be legal. It cannot be fraudulent, immoral, criminal, or opposed to public policy.

- 7. Not Expressly Declared Void: The agreement must not belong to categories that the Indian Contract Act explicitly declares illegal or void from the start (such as agreements in restraint of trade or marriage).

- 8. Certainty and Possibility of Performance: The terms must be definitive and clear; vague terms invalidate agreements. Furthermore, the contract must be physically and legally capable of execution. An agreement to discover gold by magic is void.

3 Classification of Contracts Contracts within business operations are classified across three major structural dimensions: Validity, Formation, and Performance.

1. Classification Based on Validity or Enforceability

- Valid Contract: Satisfies all essentials of Section 10 and is fully enforceable by a court of law.
- Void Agreement (Void-ab-initio): An agreement that completely lacks legal effect from its inception (Section 2(g)). It cannot be enforced by either party (e.g., an agreement with a minor).
- Void Contract: A contract that was perfectly valid when formed but subsequently becomes unenforceable due to a sudden change in law or supervening impossibility (Section 2(j)).
- Voidable Contract: An agreement which is legally enforceable at the option of one party (the injured/aggrieved party) but not at the option of the other (Section 2(i)). This occurs when consent is compromised.
- Illegal Agreement: An agreement that involves an act forbidden by criminal law. All illegal agreements are void, and any collateral transactions connected to them are also void.

2. Classification Based on Formation

- Express Contract: Formed when terms are stated explicitly using spoken words or written language.
- Implied Contract: Created automatically by the conduct, actions, or behavior of the parties, or by the surrounding circumstances (e.g., boarding a public bus implies an agreement to pay the fare).
- Quasi-Contract: Not a true contract by intent. It is a legal obligation imposed by a court to prevent one person from gaining an unfair financial advantage over another.

3. Classification Based on Performance

- Executed Contract: Both parties have completely fulfilled their respective obligations under the agreement.
- Executory Contract: One or both parties have outstanding obligations that must be completed in the future. This can be Unilateral (one-sided promise remains outstanding) or Bilateral (both parties have reciprocal obligations pending).

4 Offer and Acceptance, Consideration, Capacity to Contract, Free Consent, Coercion, Undue influence, Misrepresentation, Fraud, Mistake To truly understand how a contract operates, we must analyze the specific rules governing its individual structural building blocks.

Offer and Acceptance An Offer (Proposal) occurs when one person signifies to another their willingness to do or abstain from doing something, with a view to obtaining the assent of that other person. An offer must be definite, communicated, and capable of creating a legal relationship. Acceptance is the expression of absolute, unconditional assent to the exact terms of the proposal. Under Section 4, communication of an offer is complete when it comes to the knowledge of the person to whom it is made.

Consideration (Section 2(d)) Consideration is the price paid for a promise. It represents "Quid Pro Quo"—something in return. When at the desire of the promisor, the promisee does or abstains from doing something, such act or abstinence is called consideration.

Core Legal Rules: Consideration must move at the desire of the promisor; it may move from the promisee or an entirely third party *(Chinnaya v. Ramaya)*; it can be past, present, or future; and it need not be financially adequate, but it must be real and hold value in the eyes of law.

Exceptions to 'No Consideration, No Contract' (Section 25): Agreements made out of natural love and affection between near relatives (written and registered); promises to compensate for past voluntary services; and promises to pay a written, signed time-barred debt.

Capacity to Contract (Section 11) Not everyone is legally permitted to sign a contract. Section 11 defines competent parties as:

- Age of Majority: The party must be at least 18 years old. Any agreement made with a minor is completely void from the start (*Void-ab-initio*), and cannot be validated later through ratification.
- (Leading Case: Mohori Bibee v. Dharmodas Ghose)*
- Sound Mind: The person must be capable of understanding the terms of the contract and forming a rational judgment regarding its effects on their interests at the exact time of signing.
- Not Disqualified by Law: Includes foreign enemies, convicts undergoing sentences, and declared undischarged insolvents.

Free Consent and Its Flaws (Sections 13 - 22) Consent exists when parties agree upon the same thing in the same sense (*Consensus ad idem*).

Consent is ****Free**** under Section 14 only when it is completely untainted by any of the following five legal flaws:

Statutory Flaw Operational Definition & Mechanism Legal Outcome Clause Coercion Section 15 Committing or threatening to commit any Voidable act forbidden by the Indian Penal Code, or option of unlawfully detaining property, with the aggrieved party.

explicit intent to force a person into an agreement via physical fear.

Undue Influence Section 16 One party occupies a position where they Voidable at dominate the psychological will of another option of (e.g., Doctor/Patient, Guardian/Ward) and aggrieved party.

uses that dominant position to obtain an unfair advantage.

Fraud Section 17 Intentional deception or active concealment Voidable + Right of material facts made with the clear motive to sue for to deceive a party into signing an damages.

agreement they would otherwise refuse.

Statutory Flaw Operational Definition & Mechanism Legal Outcome Clause Misrepresentation Section 18 An innocent, unintentional misstatement of Voidable at material facts made by a party who option of genuinely believes the statement to be true, aggrieved party.

without any underlying motive to deceive. No damages.

Mistake Sections An erroneous belief regarding facts or law. Bilateral Fact = 20-22 If it is a Bilateral Mistake of Fact (both Void. Unilateral = parties misunderstand a critical core fact), Valid.

the agreement is completely dead.

5 Discharge of Contract, Breach of Contract and Remedies Discharge of a Contract Discharge means the termination of the contractual relationship between the parties. When a contract is discharged, all outstanding legal obligations are dissolved. A contract can be discharged through several distinct operational modes:

- Discharge by Performance: The most common mode. Both parties fully execute their respective promises (Actual Performance), or one party attempts to perform but the other refuses to accept it (Attempted Performance / Tender).

- Discharge by Mutual Agreement: Parties choose to substitute, alter, or terminate the existing contract via:

Novation: Substituting the old contract with an entirely new one.

Rescission: Canceling the contract altogether.

Alteration: Modifying specific terms without changing the parties.

- Discharge by Supervening Impossibility: Occurs when performance becomes physically or legally impossible after the contract is formed due to events beyond control (e.g., destruction of the subject matter). This is governed by the Doctrine of Frustration.

- Discharge by Lapse of Time: If a party fails to perform within the specific timeframe allowed by the Limitation Act, the contract expires.

- Discharge by Operation of Law: Occurs automatically via death of a party or insolvency.

- Discharge by Breach: Occurs when one party explicitly refuses to perform their mandatory duty.

Breach of Contract Breach represents a direct violation of a contract when a party fails to perform their promise. It takes two structural forms:

Actual Breach: The party fails or explicitly refuses to perform their obligation on the exact date specified for delivery or performance.

Anticipatory Breach: A party communicates their intention *before* the scheduled arrival of the performance date, stating clearly via words or actions that they will not fulfill their future promise.

Remedies for Breach of Contract When a breach occurs, the law provides the injured party with five distinct options to secure justice and recover losses:

1. Rescission 2. Suit for Damages 3. Quantum Meruit The injured party cancels the Claiming monetary compensation Translates to "as much as contract completely, freeing for the financial losses caused by earned." A legal claim to receive themselves from any the breach. *(Hadley v. fair payment for work or remaining obligations under Baxendale)* rules govern Ordinary services already completed the agreement. and Special damages. before the contract was breached.

4. Specific Performance 5. Injunction A court order forcing the breaching party to carry out A preventive court order restraining a party from their exact promise. This remedy is granted when committing a negative act or violating a restrictive monetary compensation is insufficient (e.g., unique promise they previously agreed to.

land sales).

6 Contingent Contracts, Quasi Contract Contingent Contracts (Section 31) A Contingent Contract is defined as: "A contract to do or not to do something, if some event, collateral to such contract, does or does not happen." The entire performance of the contract is dependent upon an uncertain future event that is separate from the contract itself.

- Classic Example: All contracts of insurance, indemnity, and guarantee. An insurance firm promises

to pay a factory owner a specific sum *only if* the factory burns down. If no fire occurs, the firm has no duty to pay.

- Rules of Enforcement: If the event depends on a happening, it cannot be enforced until that event occurs. If the event becomes impossible, the entire contract automatically becomes void.

Quasi-Contracts (Sections 68 - 72) A Quasi-Contract is not a real contract. There is no offer, no acceptance, no negotiation, and no initial intent between the parties. Instead, it is an obligation created and imposed by law based on the fundamental principle of natural justice and equity: "No person shall be allowed to enrich themselves unjustly at the expense of another." The Act outlines five distinct situations where a quasi-contractual obligation is automatically triggered:

- Section 68 (Supply of Necessaries): If a person incapable of entering into a contract (such as a minor or a person of unsound mind) is supplied with necessities suited to their condition in life, the supplier is entitled to be reimbursed from the property of that incapable person.

- Section 69 (Payment by Interested Person): A person who pays money that another is legally bound to pay, and who therefore has a financial interest in the payment, is entitled to be reimbursed by the other party.

- Section 70 (Obligation to Pay for Non-Gratuitous Acts): When a person lawfully does something or delivers an item to another, not intending to do so gratuitously (for free), and the receiving party accepts and enjoys the benefit of that act, they must compensate the provider.

- Section 71 (Finder of Goods): A person who finds goods belonging to another and takes custody of them is subject to the exact same legal responsibilities and duties as a *Bailee* (must take reasonable care of the items and locate the true owner).

- Section 72 (Money Paid under Mistake or Coercion): A person to whom money has been paid, or anything delivered, by mistake or under coercion, must repay or return it completely.

End of Module 1 – Business & Corporate Regulations

Module 2

SUBJECT: BUSINESS & CORPORATE REGULATIONS

Module 2: Sale of Goods Act 1930

8 Contract for Sale of Goods, Essentials of a Contract of Sale, Conditions and Warranties Meaning and Definition (Section 4) According to Section 4(1) of the Sale of Goods Act, 1930, a contract of sale of goods is a contract whereby the seller transfers or agrees to transfer the property in goods to the buyer for a price. The term 'Contract of Sale' is a generic term that comprises both an immediate 'Sale' and a future 'Agreement to Sell'.

Structural Distinction: Sale vs. Agreement to Sell Basis of Sale Agreement to Sell Comparison Transfer of The ownership (property in goods) The transfer of ownership takes place Property passes immediately from the seller to at a future date or is subject to the the buyer at the time of contract fulfillment of specific conditions.

formation.

Nature of It is an Executed Contract (fully It is an Executory Contract (obligations Contract performed legal status). remain outstanding).

Risk of Loss Risk follows ownership. If goods are Risk remains entirely with the seller damaged, the buyer bears the financial since ownership has not shifted yet, loss even if goods are in the seller's regardless of physical possession.

possession.

Basis of Sale Agreement to Sell Comparison Right to Sue The seller can sue the buyer directly for The seller can only sue for damages the recovery of the unpaid price of the caused by non-acceptance, not for the goods. absolute full monetary price.

Essentials of a Valid Contract of Sale To establish a statutory contract under this Act, five specific essential elements must coexist simultaneously:

- 1. Two Distinct Parties: There must be a clear bilateral presence of a buyer and a seller. A person cannot buy their own goods.
- 2. Subject Matter Must Be Goods (Section 2(7)): It applies exclusively to 'Goods', defined as any kind of movable property other than actionable claims and money. It includes stock, shares, growing crops, and things attached to land which are agreed to be severed before sale.
- 3. Money Price Consideration: The consideration must be money. If goods are exchanged exclusively for goods, it is Barter; if money is mixed with a goods exchange, it falls under the Sale of Goods Act.
- 4. Transfer of General Property: The contract must aim to transfer 'General Property' (Absolute Ownership) rather than merely transferring 'Special Property' (such as temporary possession via a pledge or bailment).
- 5. Standard Contractual Essentials: Must satisfy all prerequisites of Section 10 of the Indian Contract Act (Free consent, capacity, legality, etc.).

Conditions and Warranties (Section 12) A stipulation in a contract of sale with reference to goods may be a condition or a warranty, dictated entirely by its structural importance to the core contract objective.

Condition (Section 12(2)): A stipulation essential to the main purpose of the contract, the breach of which gives the aggrieved party an immediate right to treat the contract as completely repudiated (canceled) and reject the goods entirely.

Warranty (Section 12(3)): A stipulation collateral to the main purpose of the contract, the breach of which gives rise to a claim for financial damages but does **not** grant a right to reject the goods or repudiate the contract.

Implied Conditions and Warranties The law automatically injects several unwritten protective clauses into every transaction unless explicitly excluded by the parties:

- Implied Condition as to Title (Section 14(a)): The law presumes the seller has a lawful right to sell the goods. If the seller's title turns out to be defective, the buyer can reject the goods and demand a full refund.

- Implied Condition in Sale by Description (Section 15): When goods are sold by description, they must match the description perfectly. If you order a "2024 Model Laptop", delivery of a 2023 variant breaches an implied condition.

- Implied Condition as to Sample (Section 17): The bulk of the delivery must match the quality of the sample provided, and the buyer must have a fair opportunity to inspect and compare them.

- Implied Warranty of Quiet Possession (Section 14(b)): A guarantee that the buyer shall have and enjoy quiet, uninterrupted possession of the purchased goods without interference from any third party claiming superior rights.

9 Caveat Emptor – Sale by non-owners – Rules as to Delivery of goods – Un Paid Seller and his rights
The Doctrine of Caveat Emptor (Section 16) The maxim Caveat Emptor translates to "Let the Buyer Beware." It establishes the traditional legal rule that the seller is under no statutory obligation to point out the inherent defects of the goods they are selling. It is the buyer's absolute duty to apply reasonable care, skill, and judgment to inspect the goods thoroughly before purchasing.

Statutory Exceptions to the Doctrine: The rule does not protect a seller under several operational conditions:

- Fitness for Specified Purpose: If the buyer explicitly communicates the specific purpose of the purchase, relies on the seller's skill/judgment, and the seller deals in those goods, an implied condition arises that the goods shall be fit for that purpose.

- Merchantable Quality: Goods bought by description must be free from hidden (latent) structural defects that render them commercially unusable.

- Fraud or Misrepresentation: If the seller actively conceals a defect or makes false statements, the doctrine of Caveat Emptor is entirely voided.

Sale by Non-Owners: Nemo Dat Quod Non Habet (Section 27) The fundamental rule of property law states: "Nemo dat quod non habet"—No one can transfer a better title to goods than they themselves possess. If a thief sells a stolen phone to an innocent buyer, the true owner can recover it without paying compensation, because the thief had zero title to pass.

Statutory Exceptions (Valid Titles Passed by Non-Owners): To protect innocent commercial transactions, the law validates title transfers by non-owners in the following situations:

- 1. Sale by a Mercantile Agent (Section 27 Proviso): Valid if an agent has possession of the goods

with the owner's consent and sells them in the ordinary course of business to a buyer acting in good faith.

- 2. Sale by one of Joint Owners (Section 28): If one co-owner has sole possession of the goods with the consent of the other co-owners, a sale by them to an innocent buyer passes full ownership.
- 3. Sale by Person under Voidable Contract (Section 29): If a person acquires goods via fraud (making the contract voidable under Sec 19) and sells them *before* the contract is officially canceled by the original owner, an innocent buyer gets a perfect title.
- 4. Sale by Seller or Buyer in Possession after Sale (Section 30): If a seller keeps physical possession of goods after selling them and wrongfully resells them to a second innocent buyer, that second buyer receives a completely valid legal title.

Rules as to Delivery of Goods (Sections 31 - 44) Delivery is defined as the voluntary transfer of physical or constructive possession from one person to another. The Act mandates several strict execution rules:

- Concurrent Conditions (Section 32): Delivery of goods and payment of price are concurrent conditions. The seller must be ready to deliver, and the buyer must be ready to pay simultaneously.
- Wrong Quantity Delivery (Section 37): If a seller delivers a **Short Quantity**, the buyer can reject the whole lot or pay for the accepted portion at the contract rate. If they deliver an **Excess Quantity**, the buyer can accept the contracted amount and reject the rest, or accept the whole lot and pay for it. If they deliver **Mixed Goods**, the buyer can accept the aligned items and reject the rest, or reject the entire delivery.
- Place and Time: In the absence of a specific agreement, the default legal place of delivery is the location where the goods are physically situated at the time of the sale.

Unpaid Seller and His Rights (Sections 45 - 54) According to Section 45, a seller is deemed "Unpaid" when the entirety of the price has not been paid or tendered, or when a negotiable instrument (like a check) was received as conditional payment but was subsequently dishonored.

The law grants an unpaid seller two powerful sets of protective statutory rights:

1. Rights of an Unpaid Seller Against the Physical Goods Right of Lien (Sec 47) Stoppage in Transit (Sec Right of Resale (Sec 54) The right to retain physical 50) The seller can resell the goods possession of the goods at the to a third party if: the goods are If the seller has parted with warehouse until the full price is perishable, the seller gives possession and the goods are paid. Exercisable when goods are explicit notice of their intent to with an independent carrier, sold without credit terms, when the resell and the buyer fails to pay the seller can halt the credit term has expired, or when within a reasonable time, or the shipment mid-journey. This the buyer becomes insolvent. seller explicitly reserved a right right is triggered *only* when Requires physical possession. of resale.

the buyer becomes completely insolvent.

2. Rights of an Unpaid Seller Against the Buyer Personally (Suit for Breach)

- Suit for Price (Section 55): If ownership has passed to the buyer and they wrongfully refuse to pay, the seller can sue directly for the full monetary price of the goods.
- Suit for Damages for Non-Acceptance (Section 56): If the buyer wrongfully refuses to accept and pay for the goods, the seller can sue for damages representing the financial loss suffered (typically the market-contract price difference).
- Suit for Interest (Section 61): The seller can claim interest on the unpaid amount from the date the

price became due.

End of Module 2 – Sale of Goods Act 1930

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Module 3

SUBJECT: BUSINESS & CORPORATE REGULATIONS

Module 3: Companies Act

10 Introduction to Companies Act, 2013 - History of Company Acts in India Introduction The Companies Act, 2013 forms the foundational legal architecture governing corporate entities in India.

It regulates the entire lifecycle of a corporate entity—from initial promotion, incorporation, and capital structuring, to day-to-day operations, governance mechanisms, and eventual corporate liquidation or winding up.

Historical Evolution of Corporate Law in India The history of corporate legislation in India mirrors changes in international trade standards and macroeconomic shifts, shifting from colonial models to contemporary corporate governance frameworks:

- The Joint Stock Companies Act, 1850: The first formal enactment establishing corporate registration in India. Based on the British Companies Act of 1844, it recognized companies as distinct entities but lacked the principle of limited liability.
- The Joint Stock Companies Act, 1857: Introduced the principle of Limited Liability into Indian corporate law for the first time, though it excluded banking and insurance enterprises from this protection.
- The Companies Act, 1956: Enacted post-Independence on the recommendations of the Bhabha Committee. It established a highly structured framework intended to align corporate operations with national economic priorities. It remained the primary corporate rulebook for over five decades.
- The Companies Act, 2013: Formulated following the recommendations of the Dr. J.J. Irani Committee. It replaced the 1956 Act to reduce red tape, improve minority shareholder protection, enforce Corporate Social Responsibility (CSR), and align Indian corporate structures with global digital standards.

11 Meaning and Definition of Company, Features of Company Meaning and Statutory Definition Etymologically, "company" is derived from the Latin terms "com" (together) and "panis" (bread), historically referring to an association of merchants cooperating over common business interests.

Statutorily, Section 2(20) of the Companies Act, 2013 defines a company as: "A company incorporated under this Act or under any previous company law." Salient Legal Features of a Company A corporation features several distinct legal characteristics that differentiate it from other business structures like sole proprietorships and partnerships:

- 1. Separate Legal Entity: Upon incorporation, a company becomes a distinct legal persona independent of its individual shareholders or directors. It can hold property, open bank accounts, incur debts, and enter into contracts under its own name. *(Landmark Case: Salomon v. A. Salomon & Co. Ltd.)*
- 2. Perpetual Succession: The existence of a company is not tied to the life, sanity, or solvency of its members. The membership may change continuously, but the legal entity endures until officially dissolved via statutory liquidation. As the phrase goes: "Members may come and members may go, but the company goes on forever."
- 3. Limited Liability: The personal liability of shareholders is limited to any unpaid amount on the

shares held by them. If a member's shares are fully paid up, their personal assets cannot be attached to satisfy corporate debts.

- 4. Artificial Legal Person: It is created through a legal process and is recognized as an artificial person possessing legal rights, duties, and capacities, though it operates exclusively through human agents (Directors).

- 5. Separate Property: Corporate assets belong to the company as a distinct entity, not to individual shareholders. A member has no direct insurable interest or proprietary claim over the company's land or inventory. *(Macaura v. Northern Assurance Co. Ltd.)*

- 6. Capacity to Sue and Be Sued: As a legal person, the company can initiate civil litigation in its own name to protect its rights and can similarly be sued by third parties for breaches of contract or civil wrongs.

12 Kinds of Companies The Companies Act, 2013 classifies corporate entities based on liability, membership limits, control structures, and public accountability metrics.

Core Categories of Corporate Entities

- Public Company (Section 2(71)): A company that is not private, features a minimum of 7 members,

has no upper limit on membership, and allows unrestricted transfer of shares to the general public.

- Private Company (Section 2(68)): A company whose articles explicitly restrict the right to transfer shares, caps its maximum membership at 200 members (excluding current/former employees), and strictly prohibits any public invitation to subscribe to its securities.

- One Person Company (OPC) (Section 2(62)): A private company structured with only one individual member as its founder. It provides sole proprietors with the benefits of corporate limited liability while reducing procedural compliance burdens. It requires a designated nominee to ensure business continuity.

- Small Company (Section 2(85)): A private company defined by specific financial thresholds: its paid-up share capital does not exceed 4 crores (or a higher prescribed amount up to 10 crores), and its turnover does not exceed 40 crores (or a higher prescribed amount up to 100 crores). It is eligible for simplified compliance paths.

- Associate Company (Section 2(6)): A company in which another enterprise exercises a

- significant influence**—defined as control of at least 20% of the total voting power or management of business decisions under an agreement—but which is not a direct subsidiary.

- Dormant Company (Section 455): Formed for a future project or to hold an asset/intellectual property without carrying out active accounting transactions. It can apply to the Registrar of Companies (ROC) for formal dormant status to preserve its legal identity with minimal compliance overhead.

- Government Company (Section 2(45)): Any company in which not less than 51% of the paid-up share capital is held by the Central Government, any State Government(s), or jointly by central and state authorities. Its financial audits are overseen by the Comptroller and Auditor General (CAG) of India.

- Producers Company (Part IXA / Section 378A): Formed by a group of primary producers (farmers, artisans, fishermen) to handle the production, harvesting, procurement, grading, pooling, and marketing of their products. It applies cooperative principles within a corporate structure.

13 Lifting of Corporate Veil, Doctrine of Ultra Vires, Doctrine of Indoor Management

1. Lifting of the Corporate Veil The corporate veil is a legal metaphor representing the separate legal personality that separates a company from its individual shareholders and directors. Under normal circumstances, this veil protects members from personal liability for corporate debts.

However, when this privilege is used for fraudulent purposes, tax evasion, or to evade legal obligations, the courts or statutes will look behind the corporate form to hold the individual bad actors directly liable.

This is known as Lifting or Piercing the Corporate Veil.

Key Grounds for Lifting the Veil:

- Protection of Revenue: Where corporate structures are created solely to evade taxes.
 - (Dinshaw Maneckjee Petit Case)*
 - Prevention of Fraud or Improper Conduct: When a company is formed to bypass a restrictive contract or execute a scam. *(Gilford Motor Co. v. Horne)*
 - Determination of Enemy Character: During wartime, to ascertain if the controlling minds behind the business belong to an enemy nation. *(Daimler Co. Ltd. v. Continental Tyre & Rubber Co.)*
2. Doctrine of Ultra Vires The term "Ultra Vires" translates to "Beyond the Powers." In corporate law, it states that a company can only execute activities that fall within the scope defined by the Objects Clause of its Memorandum of Association (MOA).

– Legal Status: Any transaction outside the scope of the MOA is completely ultra vires the company and is **void from the beginning** (*void-ab-initio*). It cannot be ratified or validated later, even if every shareholder votes in its favor. *(Landmark Case: Ashbury Railway Carriage & Iron Co. v.

Riche)*

– Purpose: To protect shareholders by ensuring their capital is not invested in unapproved risks, and to protect creditors by defining the company's authorized line of business.

3. Doctrine of Indoor Management (Turquand's Rule) The Doctrine of Indoor Management operates as a protective shield for external third parties dealing with a company, acting as an exception to the rule of Constructive Notice (which assumes outsiders have read the public documents, MOA, and AOA).

The Core Rule: Outsiders are bound to read public documents to ensure a transaction aligns with the company's authorized scope, but they are *not* required to investigate the internal private procedures of the company to verify that regular internal approvals were met. They can assume that internal corporate actions are regular and compliant. *(Landmark Case: Royal British Bank v.

Turquand)* Statutory Exceptions (Where Indoor Management Fails to Protect Outsiders):

- Knowledge of Irregularity: If the outsider had actual knowledge that internal procedures were skipped.
 - Suspicion of Irregularity: Where the nature of the transaction is unusual enough to put a reasonable person on inquiry.
 - Forgery: The doctrine never applies to transactions built on forged signatures, as forgery is a complete nullity. *(Ruben v. Great Fingall Consolidated)*
- 14 Memorandum of Association, Articles of Association, Alteration of Memorandum and Articles of Association, Prospectus Memorandum of Association (MOA) vs. Articles of Association (AOA) The MOA and AOA represent the constitutional framework of a company, defining its external boundaries and internal operations.

Memorandum of Association Feature Articles of Association (AOA)

(MOA)

Legal Status The primary constitution of the company; defines its foundational to the MOA and contains rules for powers and object boundaries. The secondary by-laws; subordinate company; defines its day-to-day operations.

Memorandum of Association Feature Articles of Association (AOA)

(MOA)

Core Focus Defines the company's relationship with the external world and public between the company, its members, stakeholders. and its directors.

Mandatory Clauses Contains 6 clauses: Name, Contains internal regulations Registered Office, Objects, Liability, regarding share transfers, Capital, and Association. dividends, voting, and board meetings.

Ultra Vires Status Acts outside the MOA are completely void and cannot be ratified. Acts outside the AOA are irregular void and but can be ratified by a shareholder vote.

Alteration of MOA and AOA Altering these constitutional documents requires adherence to strict corporate procedures to protect stakeholder interests:

- Altering the MOA: Requires passing a Special Resolution (75% majority vote) in a general meeting. Changing the *Objects Clause* requires filing details with the ROC. Shifting the *Registered Office* from one state to another requires additional approval from the Regional Director to protect local creditors.

- Altering the AOA: Requires a Special Resolution under Section 14. If the alteration converts a public company into a private company, it must also receive formal approval from the Regional Director.

Prospectus (Section 2(70)) A prospectus is any formal document described or issued as a prospectus, including red herring or shelf prospectuses, notices, circulars, or advertisements that invite offers from the public to subscribe to or purchase the company's securities.

Legal Liability: A prospectus must contain accurate facts. Any material misstatement or active concealment can expose directors and promoters to civil liability for damages and criminal liability for fraud under Section 447.

15 Management of Companies - Directors: Appointment, Removal, Powers, and Duties Appointment and Removal of Directors Directors serve as the primary human agents through whom an artificial corporate person acts. Every public company must have a minimum of 3 directors, private companies a minimum of 2, and an OPC at least 1, with a maximum cap of 15 directors across all types (extendable via special resolution).

- Appointment (Section 152): Directors are typically appointed by shareholders in a general meeting via an ordinary resolution. Every director must hold a valid Director Identification Number (DIN). At least one director must be a resident of India (stayed in India for at least 182 days in the financial year).

- Removal (Section 169): Shareholders can remove a director before the expiration of their tenure by

passing an Ordinary Resolution, provided the director is given a reasonable opportunity to be heard (principles of natural justice).

Types of Directors Independent Director Executive Director Additional / Alternate A non-executive director with zero Includes Managing Directors Additional directors are material or financial interest in the (MD) or Whole-Time appointed by the Board between company or its promoters, Directors (WTD) who handle AGMs. Alternate directors act in appointed to ensure neutral, day-to-day operations as full-place of a director absent for objective oversight. time employees. over 3 months.

Powers and Duties of Directors Directors owe strict fiduciary obligations and duties of care to the company as an entity:

- **Statutory Duties (Section 166):** A director must act in good faith to promote the objects of the company, exercise reasonable care, skill, and diligence, avoid conflicts of interest, and ensure they do not achieve any undue gain or assign their office to another.

- **Corporate Powers (Section 179):** The Board is authorized to exercise all such powers as the company is authorized to do, including borrowing funds, investing surplus corporate capital, approving financial statements, and issuing securities. These powers must be exercised via formal resolutions passed at Board meetings.

Key Managerial Personnel (KMP) (Section 2(51)) KMPs represent the core executive layer responsible for implementing the strategic directives approved by the Board. Under Section 203, specified classes of companies must appoint: a Chief Executive Officer (CEO) or Managing Director, a Company Secretary (CS), and a Chief Financial Officer (CFO).

16 Company Secretary: Qualification, Appointment and Duties Role of a Company Secretary (CS) The Company Secretary serves as the primary compliance officer, ensuring that the company follows all statutory legal guidelines, files corporate records accurately, and maintains transparent governance practices.

Statutory Qualifications Under the law, an individual cannot be appointed as a Company Secretary unless they satisfy specific educational requirements:

The Standard: For any company featuring a paid-up share capital of 10 crores or more, it is mandatory to appoint a whole-time Company Secretary who is a member of the Institute of Company Secretaries of India (ICSI).

Appointment Protocol The CS is classified as a Key Managerial Personnel (KMP). Consequently, their appointment must be approved via a formal Board Resolution outlining specific terms, conditions, and remuneration metrics, and the appointment details must be filed with the ROC within 30 days via Form MGT-14/DIR-12.

Primary Duties of a Company Secretary The duties of a CS are split between operational compliance and board support functions:

- **1. Statutory Filings:** Ensuring accurate preparation and timely submission of mandatory annual returns, financial disclosures, and share transfer data to the Registrar of Companies (ROC).
- **2. Secretarial Standards Compliance:** Ensuring that all corporate operations align with the Secretarial Standards issued by the ICSI under Section 205.
- **3. Meeting Coordination:** Managing the administration of Board Meetings and Annual General Meetings (AGMs). This includes issuing timely meeting notices, distributing agendas, and drafting the official minutes of the meetings.
- **4. Advisory Role:** Advising the Board of Directors on their legal liabilities, disclosure duties, and changes in corporate legislation to prevent compliance breaches.

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Module 4

SUBJECT: BUSINESS & CORPORATE REGULATIONS

Module 4: Corporate Meeting and

Liquidation 17 Company Meeting - Types of meeting and requirements of valid meeting Concept of Corporate Meetings An artificial legal person cannot act dynamically on its own. Its statutory intentions are expressed through resolutions formulated at validly convened sessions. A corporate meeting is an official administrative gathering of the company's members or its directors to collectively debate, evaluate, and cast binding votes on corporate transactions and regulatory objectives.

Core Classifications of Company Meetings Corporate forums are structured under the Act into distinct administrative tiers based on the executing stakeholders:

- 1. Shareholder Meetings (General Meetings):

Annual General Meeting (AGM) [Section 96]: A mandatory statutory session required to be executed once every single calendar year by every company (except an OPC). The first AGM must be hosted within 9 months of closing the initial financial year. Subsequent AGMs must be conducted within 6 months from the closing of the financial year, with a strict statutory maximum gap of ****15 months**** between consecutive AGMs. Ordinary business conducted includes layout approval of financial statements, dividend declarations, directorial appointments, and auditor selections.

Extraordinary General Meeting (EGM) [Section 100]: A special general meeting called to handle urgent, unexpected material business components that cannot wait until the next scheduled AGM (e.g., modifying the Objects Clause of the MOA). It can be convened directly by the Board of Directors on its own accord or upon a formal written requisition submitted by members holding at least one-tenth of the paid-up voting capital.

- 2. Board Meetings (Meetings of Directors) [Section 173]:

The primary administrative forum where the elected directors manage day-to-day operations. The first board meeting must be completed within 30 days of the date of corporate incorporation.

Subsequently, a minimum of four board sessions must occur every year, ensuring that a maximum gap of ****120 days**** is never exceeded between two consecutive board sessions.

- 3. Class Meetings:

Sessions hosted exclusively for a specific class of security holders (e.g., Preference Shareholders).

These are convened explicitly when the company proposes to alter the specific financial rights or structural privileges associated with that specific class of stock.

Prerequisites of a Legally Valid Meeting If a corporate session fails to satisfy any of these statutory requirements, the entire meeting is deemed irregular, and all resolutions passed are legally void and non-binding:

- Properly Convened Authority: The meeting must be called by a recognized authority possessing legal clearance—typically via a formal resolution passed by the Board of Directors.

- Statutory Notice [Section 101]: A clear written or electronic notice of ****at least 21 days**** must be delivered to every eligible member, auditor, and director. The notice must explicitly state the geographical venue, exact calendar date, starting hour, and the specific agenda (business to be transacted).

- Quorum Requirements [Section 103]: The minimum number of qualified members required to be personally present to legally activate the session.

For Public Companies: 5 members present if membership is under 1,000; 15 members if membership is between 1,001 and 5,000; 30 members if membership exceeds 5,000.

For Private Companies: Two members personally present form a valid quorum.

- Appointment of Chairman [Section 104]: A proper presiding officer must take the chair to oversee, manage, and maintain orderly conduct throughout the debates and voting blocks.

- Official Minutes [Section 118]: A complete, objective written chronicle of the proceedings and resolutions must be accurately entered into the official corporate Minutes Book within **30 days** of the conclusion of the session.

18 Winding up of Companies: Mode of winding up of the Companies Legal Meaning of Winding Up Winding up (or Liquidation) represents the final legal process through which the corporate life of a company is brought to a formal conclusion. During this procedure, the management of the asset portfolio is stripped from the directors and handed over to a state-appointed official known as the

- Company Liquidator**33**.

The liquidator is charged with a structural mandate: realize all physical and intangible assets, collect pending capital balances, settle outstanding debts according to statutory priority rules, and distribute any remaining surplus capital to the shareholders in proportion to their stock holdings.

Crucial Legal Distinction: Winding up does **not** equal immediate corporate dissolution. During the winding-up phase, the company's separate legal entity status and corporate powers persist intact.

The company is only officially dead when the Tribunal passes a formal **Order of Dissolution****33**, deleting its name from the registry of companies.

Modes of Winding Up Following historical adjustments and the enforcement of the Insolvency and Bankruptcy Code (IBC), 2016, the modes of winding up have been structurally streamlined under Indian jurisprudence:

1. Winding Up by the Tribunal 2. Voluntary Winding Up Compulsory Liquidation Solvent Liquidation Executed under a direct judicial mandate issued by Initiated directly by the choices of members or the National Company Law Tribunal (NCLT) based creditors. Note: All insolvency-driven liquidations are on specific structural grounds outlined under Section now routed via the IBC corporate insolvency 271 of the Companies Act. framework, while the winding up of solvent entities remains controlled via specific regulatory filing tracks.

19 Compulsory Winding up under the Order of the Tribunal / Voluntary winding up I. Compulsory Winding Up by the Tribunal [Section 271] The National Company Law Tribunal (NCLT) possesses the exclusive judicial authority to mandate the compulsory winding up of a company upon receiving a petition from the company, its creditors, its contributories, or the Registrar of Companies (ROC). The statutory grounds include:

- Sovereignty and Integrity of the Nation: If the company has actively operated against the national sovereignty, safety, or core integrity of India, security of the State, or friendly relations with foreign states.

- Fraudulent Affairs: If upon investigation, the Tribunal finds that the company's business was conducted to perpetrate active fraud, or the company was created explicitly for unlawful purposes, or its promoters are guilty of systemic misfeasance.

- Default in Filing Financials: If the company makes a continuous default in preparing and filing its mandatory financial statements or annual returns with the ROC for **five consecutive financial years** immediately preceding.

- Just and Equitable Ground: A broad judicial discretionary clause. The Tribunal will order liquidation

if it finds that the core "substratum of the company" has completely vanished, or there is an absolute deadlock in management preventing operations, or the business is a complete commercial impossibility.

II. Voluntary Winding Up (Solvent Liquidation Protocol) Voluntary winding up occurs when a corporate entity decides to dissolve its operations smoothly on its own initiative without requiring hostile judicial intervention. Under contemporary laws, this is executed through the following protocol:

- Declaration of Solvency: A mandatory requirement. The majority of the directors must execute a formal affidavit affirming that they have made a full inquiry into the company's affairs and have formed the opinion that the company has no debts, or that it will be fully capable of paying off all its liabilities within a period not exceeding three years from the start of liquidation.

- Corporate Resolution: The members must pass an Ordinary Resolution in a general meeting if the company's pre-set duration has expired, or a Special Resolution (requiring a 75% voting majority) stating that the company should be wound up voluntarily.

20 Contributories - Payment of Liabilities Definition and Status of a Contributory [Section 2(26)] The term Contributory refers to any person liable to contribute financially to the asset base of a company in the event of its liquidation. This concept is vital for gathering remaining funds to settle corporate debts.

Contributories are divided into two operational listings managed by the liquidator:

- List A (Present Members): Consists of individuals who are registered shareholders at the exact moment winding up begins. Their liability is limited strictly to any unpaid amount on the shares they currently hold. If their stock is fully paid up, their active liability is zero.

- List B (Past Members): Consists of individuals who ceased to be members within **one year** preceding the date winding up started. A past member is called to contribute **only if** present List A members fail to clear their required financial balances, and only to settle debts incurred before they officially exited the company registry.

Payment of Liabilities: The Priority Waterfall Mechanism During liquidation, the company liquidator cannot distribute funds arbitrarily. Proceeds collected from asset realizations must be distributed according to a strict legal hierarchy under corporate and insolvency laws:

Priority Claim Category Statutory Execution Rules & Balances Rank Rank 1 Liquidation & Insolvency Costs All costs incurred to run the liquidation process, including professional fees for the liquidator and asset preservation expenses, must be paid first.

Rank 2 Workmen Dues & Secured Ranks equally (Pari-Passu). Covers workmen's Creditors wages outstanding for a maximum of 24 months preceding, alongside debts owed to secured creditors who chose to relinquish their security interest to the liquidator.

Priority Claim Category Statutory Execution Rules & Balances Rank Rank 3 Employee Salaries Unpaid wages and salaries due to standard staff members (other than workmen) for a period not exceeding 12 months prior to winding up.

Rank 4 Unsecured Financial Debts Settlement of outstanding accounts for general unsecured creditors, trade vendors, and suppliers who hold no physical collateral.

Rank 5 Statutory Government Revenues All central and state government taxes, local municipal rates, and duties due within 12 months preceding the liquidation date.

Rank 6 Preference Shareholders Payment of outstanding preference dividends and return of preference share capital. They hold priority over equity owners.

Rank 7 Equity Shareholders The residual owners of the company. They receive any remaining surplus funds in proportion to their paid-up capital holdings. If funds are exhausted at Rank 4, they receive nothing.

End of Module 4 – Corporate Meeting and Liquidation

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Part 2 — Official Syllabus

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Code: BBA3CJ201 – Module SYLLABUS Notes ni.evilleerged.www Course Syllabus Course Code:
BBA3CJ201 | Course Title: Business and Corporate Regulations | Semester: III

Module I: Indian Contract Act, 1872

- Unit 1: Definition, Essentials of a Valid Contract, Classification of Contracts.
- Unit 2: Offer, Acceptance, Consideration, Capacity of Parties.
- Unit 3: Free Consent (Coercion, Undue Influence, Fraud, Misrepresentation, Mistake).
- Unit 4: Performance, Breach of Contract, and Remedies for Breach.

Module II: Special Contracts & Sale of Goods Act, 1930

- Unit 5: Contract of Indemnity and Guarantee.
- Unit 6: Contract of Bailment and Pledge.
- Unit 7: Law of Agency – Creation, Rights, Duties, and Termination.
- Unit 8: Sale of Goods Act, 1930 – Conditions, Warranties, Transfer of Ownership.

Module III: Companies Act, 2013 – Formation & Management

- Unit 9: Definition, Features, Types of Companies (Public, Private, OPC).
- Unit 10: Formation of a Company – Incorporation, MOA, AOA, Prospectus.
- Unit 11: Company Management – Directors, Appointment, Key Managerial Personnel

(KMP).

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- Unit 12: Company Meetings – Board Meetings, AGM, EGM, Resolutions.

Module IV: Consumer Protection & Information Technology Law

- Unit 13: Consumer Protection Act, 2019 – Objectives, Rights, Consumer Dispute Redressal Commissions.
- Unit 14: Information Technology Act, 2000 – Cyber Laws, Digital Signatures, Electronic Governance.
- Unit 15: Intellectual Property Rights (IPR) – Patents, Trademarks, Copyrights Overview.
- Unit 16: Foreign Exchange Management Act (FEMA) Basics & Insolvency Code (IBC) Overview.

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